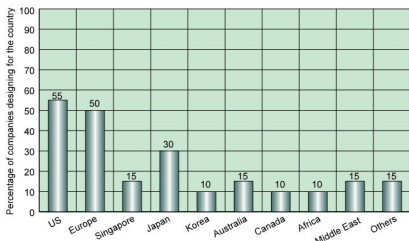
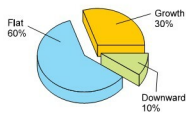


Major Clients



Recession Impact



Electronics, 4Semi Technology India and Wysine Technologies catered to domestic customers only.

Over half had customers from USA, followed by European markets like Germany, Sweden, the UK and France (50 per cent). The next significant consumer was Japan with 30 per cent of the IDHs having clients from that country. Other significant consumers were Australia, Singapore and the Middle East (15 per cent each), followed by Korea, Canada and Africa (10 per cent each). Some of the IDHs also serviced Taiwan, Sri Lanka, Bangladesh and Nepal.

Not affected much by the recession

While some IDHs did not disclose their growth figures, others' growth rates varied from 15 per cent to a whopping 400 per cent!

Unlike the captive IDCs, which seemed to be affected notably by the recession, perhaps because of their dependence on the parent company

and the verticals served, IDHs were not affected much by the recession. The recession's impact was flat for a majority of the IDHs (60 per cent) and 30 per cent even experienced growth, while a mere 10 per cent witnessed a downward trend.

Challenges many, strategies aplenty

IDHs face a number of challenges *en route* to achieving their growth targets. Nothing comes easy, be it acquiring the right customers or the right employees. However, IDHs are all set to face these challenges with strategies for success.

S. Janakiraman, president and group CEO-Product Engineering Services, MindTree, enumerated the many challenges faced by them: "Getting the right talent pool; being selective in business so that margins are protected; and competing with captive centres in product engineering to show the difference in value proposition."

However, they are successfully countering the challenges through innovative strategies. "We are overcoming the talent crunch by recruiting a blend of fresh talents, whom we absorb and nurture, and lateral and better hires through reference of our employees. Also, we are doing brand building in India in the universities and job market to attract better talent," informed Janakiraman.

"We are focusing on business op-

portunities that will provide sustainable growth than sudden one-time windfall. We have nearly 250 customers and will focus on repeat business by building strong relationship and proactive value addition. We will be selective in adding new customers with whom we see mutually beneficial and long-term relationships. Finally, for product engineering, we compete and collaborate with MNC centres in India. We will focus on their pain points and provide complementary services that will be of value to them. We will also intensify invest in research and licence technologies that will enable faster go-to-market for our customers," he added.

Vasudevan A., vice president-Semiconductor & System Solutions, Wipro Technologies, said, "Building the right talent and competency in the VLSI area is a significant challenge. There needs to be a focus on understanding both the system/product and sub-micron technology issues. We invest a lot in building this expertise and also use the internal expertise to scale it up. Market demand is inconsistent. Customers are trying to align to market demands. Every customer's requirement is different. So we are dynamically adjusting to the needs of the customers to address changing market needs."

Strategies, in depth

Let us take a look at the main strategies followed by IDHs to foster growth and counter competition.

Exploring new opportunities. One of the key avenues for growth is to seek the new, whether in terms of products or markets. "We have invested a lot of time and money to develop new products. We are also working on three more segments currently: defence, semiconductors and industrial. The revenues will come jointly from all these segments," informed Amit Sinha, managing director and CEO, Dexcel Electronics Designs.

Ram Prakash H., founder and CEO, Tachyon Technologies, added, "We are techies running the company, so the idea is to create more new products."